



Mindteck Employees Stock Option Scheme 2020

Mindteck (India) Limited

Mindteck (India) Limited

Reg. office: AMR Tech Park, Block – 1, 3rd Floor, #664, 23/24, Hosur Main Road,
Bommanahalli, Bengaluru – 560068, Karnataka.

CIN: L30007KA1991PLC039702

TABLE OF CONTENTS

1.	NAME, OBJECTIVE AND TERM OF THE SCHEME.....	2
2.	DEFINITIONS AND INTERPRETATION.....	2
3.	AUTHORITY AND CEILING	6
4.	SUPERVISION AND ADMINISTRATION OF ESOS	7
5.	ELIGIBILITY AND APPLICABILITY.....	9
6.	GRANT AND ACCEPTANCE OF OPTIONS.....	9
7.	VESTING SCHEDULE / CONDITIONS	10
8.	EXERCISE	10
9.	OTHER TERMS AND CONDITIONS.....	13
10.	LOCK IN	13
11.	EXIT ROUTE IN CASE OF DE-LISTING	14
12.	DEDUCTION OF TAX	14
13.	AUTHORITY TO VARY TERMS.....	14
14.	MISCELLANEOUS	14
15.	ACCOUNTING POLICY	15
16.	CERTIFICATE FROM AUDITORS AND DISCLOSURES	15
17.	GOVERNING LAWS	16
18.	NOTICES	16
19.	NOMINATION	16
20.	JURISDICTION	16
21.	LISTING OF THE SHARES	17
22.	SEVERABILITY.....	17
23.	CONFIDENTIALITY.....	17

Mindteck (India) Limited

Reg. office: AMR Tech Park, Block – 1, 3rd Floor, #664, 23/24, Hosur Main Road,
Bommanahalli, Bengaluru – 560068, Karnataka.

CIN: L30007KA1991PLC039702

1. Name, Objective and Term of the Scheme

- 1.1 This employee stock option scheme shall be called the “Mindteck Employees Stock Option Scheme 2020” (**‘ESOS’/‘Scheme’**).
- 1.2 The objective of ESOS is to attract, retain, reward and motivate Employees to contribute to the growth and profitability of the Company including Subsidiaries.
- 1.3 ESOS is being established with effect from **(Date of Shareholder’s meeting)**, on which the shareholders of the Company have approved the Scheme by way of a special resolution and it shall continue to be in force until (i) subject to the Applicable Laws, its termination by the Company , or (ii) the date on which all of the Options available for issuance under the ESOS have been granted and exercised, whichever is earlier.

2. Definitions and Interpretation

2.1 Definitions

- i. **“Applicable Law”** means the legal requirements relating to Employee Stock Options, including without limitation to the Companies Act and the rules framed, notifications, circular issued thereunder, Securities and Exchange Board of India Act 1992, SEBI SBEB Regulations and includes any statutory modifications or re-enactments thereof and all relevant tax, securities, exchange control or corporate laws of India, or of any relevant jurisdiction or of any Stock Exchange on which the Shares are listed or quoted .
- ii. **“Board”** means the board of directors of the Company.
- iii. **“Committee”** means the Nomination and Remuneration Committee constituted by the Board from time to time, to administer and supervise the ESOS and other employee benefit plan/schemes, if any, comprising of such members of the Board as provided under Section 178 of the Companies Act to act compensation committee under Regulation 5 of the SEBI SBEB Regulations.
- iv. **“Companies Act”** means the Companies Act, 2013 and includes any statutory modifications or re-enactments thereof.
- v. **“Company”** means “Mindteck (India) Limited”, a company registered in India under the provisions of the Companies Act, 1956 with corporate identification number L30007KA1991PLC039702 and having its registered office at AMR Tech Park, Block – 1, 3rd Floor, #664, 23/24, Hosur Main Road, Bommanahalli, Bengaluru – 560068, Karnataka, as the context may require for the purposes of this Scheme.
- vi. **“Company Policies/Terms of Employment”** means the Company’s policies for Employees and the terms of employment as contained in the employment letter and the company handbook, which includes provisions requiring a desired level of performance, securing confidentiality, non-

Mindteck (India) Limited

Reg. office: AMR Tech Park, Block – 1, 3rd Floor, #664, 23/24, Hosur Main Road,
Bommanahalli, Bengaluru – 560068, Karnataka.

CIN: L30007KA1991PLC039702

compete and non-poaching of other employees and customers. Policies/terms of employment of Subsidiary company, as regards an Option Grantee on the payrolls of such Subsidiary company, shall be deemed to be “Company Policies/Terms of Employment” for such Option Grantee.

- vii. **“Director”** means a member of the Board.
- viii. **“Eligibility Criteria”** means the criteria as may be determined from time to time by the Committee for granting the Options to the Employees.
- ix. **“Employee”** means (i) a permanent employee of the Company working in India or out of India; or (ii) a Director of the Company, whether a whole-time director or not but excluding an Independent Director; or (iii) an employee, as defined in sub-clauses (i) or (ii) above, of the Subsidiary company, whether present or future, in India or out of India, , but excludes:
 - a. an employee who is a Promoter or belongs to the Promoter Group; or
 - b. a Director who either by himself or through his relative or through any body corporate, directly or indirectly, holds more than 10% of the outstanding Shares of the Company.
- x. **“Employee Stock Option” or “Option”** means the option granted to an Employee, which gives such Employee the right, but not an obligation, to purchase or subscribe at a future date the Shares of the Company underlying the Option at a pre-determined price.
- xi. **“ESOS Trust”** means ‘Mindteck Employees Welfare Trust’, formed by the Company for the benefit of the Employees and which may from time to time administer the Scheme and hold cash, purchase/hold/transfer Shares or other securities of the Company for the purposes of the Scheme.
- xii. **“Exercise”** of an Option means expression of an intention by an Employee to the ESOS Trust to purchase the Shares underlying the Options vested in him, in pursuance of the ESOS, in accordance with the procedure laid down for exercise of the Options.
- xiii. **“Exercise Period”** means such time period after Vesting within which the Employee should Exercise the Options vested in him in pursuance of the ESOS.
- xiv. **“Exercise Price”** means the price determined by the Committee as per provisions of this Scheme and specified in the Grant Letter, being payable by an Employee in order to Exercise the Options vested in him in pursuance of the Scheme.
- xv. **“Grant”** means issue of Options to the Employees under the ESOS.
- xvi. **“Grant Date”** means the date of the meeting of the Committee in which Grant of Options to the Employees is approved.

Mindteck (India) Limited

Reg. office: AMR Tech Park, Block – 1, 3rd Floor, #664, 23/24, Hosur Main Road,
Bommanahalli, Bengaluru – 560068, Karnataka.

CIN: L30007KA1991PLC039702

- xvii. **“Grant Letter”** means the formal communication as regards Grant made by the Company to the eligible Employee containing specific details of the Grant.
- xviii. **“Independent Director”** means a Director within the meaning of Section 149(6) of the Companies Act read with Regulation 16(1)(b) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.
- xix. **“Market Price”** means the latest available closing price of Shares on the Recognized Stock Exchange on which the Shares of the Company are listed on the date immediately prior to the applicable Relevant Date.

Explanation- If such Shares are listed on more than one Recognized Stock Exchanges, then the closing price on such stock exchange having higher trading volume shall be considered as the Market Price.

- xx. **“Misconduct”** means disregard of the Company’s (including Subsidiaries) bye-law, rules, regulations and the Company Policies/ Terms of Employment and includes mismanagement of position by action or inaction, alleged wrongdoing, misfeasance, or violation of any rule, regulation or law which was expected to be abided by the Employee.
- xxi. **“Option”** means Employee Stock Option within the meaning of this Scheme.
- xxii. **“Option Grantee”** means an Employee who has been granted an Option in pursuance of the ESOS and having a right but not an obligation to Exercise the Options and shall deem to include nominee/ legal heir of such Option Grantee in case of death of Option Grantee to the extent provisions of the Scheme is applicable.
- xxiii. **“Permanent Incapacity”** means any disability of whatsoever nature, physical, mental or otherwise, which incapacitates or prevents or handicaps an Employee from performing any specific job, work or task which the said Employee was capable of performing immediately before such disablement, as determined by the Committee based on a certificate of a medical expert identified by the Company.
- xxiv. **“Promoter”** means the same meaning assigned to it under the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018, as amended.
- xxv. **“Promoter Group”** means the same meaning assigned to it under the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018, as amended.

Provided that where the Promoter or Promoter Group of the Company is a body corporate, the promoters of that body corporate shall also be deemed to be Promoters of the Company.

- xxvi. **“Relevant Date”** means any of the following dates as the context requires:

Mindteck (India) Limited

Reg. office: AMR Tech Park, Block – 1, 3rd Floor, #664, 23/24, Hosur Main Road,
Bommanahalli, Bengaluru – 560068, Karnataka.

CIN: L30007KA1991PLC039702

- (i) in the case of Grant, the date of the meeting of the Committee on which the Grant is made; or
 - (ii) in the case of Exercise, the date on which the notice of Exercise is given to the Company by the Option Grantee.
- xxvii. **“Recognized Stock Exchange”** means the National Stock Exchange of India Limited, BSE Limited or any other recognized stock exchange(s) in India on which the Shares are listed.
- xxviii. **“Retirement”** means retirement as per the rules of the Company and its Subsidiaries.
- xxix. **“Scheme / ESOS”** means this ‘Mindteck (India) Limited Employees Stock Option Scheme’ under which the Company is authorised to Grant Options to the Employees.
- xxx. **“SEBI SBEB Regulations”** means the Securities and Exchange Board of India (Share Based Employee Benefits) Regulations, 2014, as amended and includes all regulations and clarifications issued thereunder.
- xxxi. **“Shares”** means equity shares of the Company of face value of Rs.10/- (Rupees Ten) each fully paid up and includes equity shares arising out of the Exercise of Options granted under the ESOS.
- xxxii. **“Subsidiary company/Subsidiaries”** means any present or future subsidiary company of the Company, as defined in the Companies Act.
- xxxiii. **“Trustee”** shall mean the person/ entity appointed as a trustee under the trust deed of the ESOS Trust to manage the affairs of the ESOS Trust.
- xxxiv. **“Unvested Option”** means an Option in respect of which the relevant Vesting Conditions have not been satisfied and as such, the Option Grantee has not become eligible to Exercise the Option.
- xxxv. **“Vesting”** means earning by the Option Grantee, of the right to apply for Shares of the Company against the Options granted to him in pursuance of the ESOS.
- xxxvi. **“Vesting Condition”** means the condition prescribed, if any, subject to satisfaction of which the Options granted would vest in an Option Grantee.
- xxxvii. **“Vesting Period”** means the period during which the Vesting of the Option granted to the Employee, in pursuance of the ESOS takes place.
- xxxviii. **“Vested Option”** means an Option in respect of which the relevant Vesting Conditions have been satisfied and the Option Grantee has become eligible to exercise the Option.

2.2 Interpretation

In this Scheme, unless the contrary intention appears:

Mindteck (India) Limited

Reg. office: AMR Tech Park, Block – 1, 3rd Floor, #664, 23/24, Hosur Main Road,
Bommanahalli, Bengaluru – 560068, Karnataka.

CIN: L30007KA1991PLC039702

- a) the clause headings are for ease of reference only and shall not be relevant to interpretation;
- b) a reference to a clause number is a reference to its sub-clauses;
- c) words in singular number include the plural and vice versa;
- d) words importing a gender include any other gender;
- e) a reference to a Schedule includes a reference to any part of that Schedule which is incorporated by reference.

3. Authority and Ceiling

- 3.1 The members of the Company vide special resolution dated [●] have authorized the Committee to Grant not exceeding 4,16,000 (Four Lakh Sixteen Thousand) Options to the eligible Employees from time to time, in one or more tranches, exercisable into not more than equal number of Shares, with each such Option conferring a right upon the Employees to apply for one Share of the Company to be transferred by the ESOS Trust upon Exercise thereof, in accordance with the terms and conditions as may be determined by the Committee in accordance with the provisions of ESOS and Applicable Laws.
- 3.2 The ESOS Trust had already acquired the aforesaid Shares from the Company which shall be used by the ESOS Trust for transferring the same to the Option Grantee at the time of Exercise of their Vested Options and payment of the Exercise Price together with the applicable taxes, in due compliance with the Applicable Laws.
- 3.3 If an Option expires, lapses or becomes un-exercisable due to any reason, it shall be brought back to the Options pool as mentioned in Sub-clause 3.1 and shall become available for future Grants, subject to compliance with all Applicable Laws.
- 3.4 Where Shares are transferred consequent upon Exercise of an Option under the Scheme, the maximum number of Shares that can be transferred under the Scheme as referred to in Sub-clause 3.1 above shall stand reduced to the extent of such Shares transferred.
- 3.5 In case of a Share-split where the face value of the shares is reduced below Rs. 10, the maximum number of Shares available for being granted under ESOS shall stand modified accordingly, so as to ensure that the paid-up value (No. of shares X face value per Share) of the total Shares that can be transferred remains unchanged. Thus, for instance, if the face value of each share is reduced to Re. 1, the total number of Shares available for transfer under ESOS would be 41,60,000 (Forty One Lakhs Sixty Thousand) Shares of Re.1 each.
- 3.6 In case of a consolidation where the face value of the Shares is increased above Rs.10/-, the maximum number of Shares available for being granted under the Scheme shall stand modified accordingly, so as to ensure that the cumulative face value (No. of Shares X Face value per Share) prior to such consolidation remains unchanged after the Share consolidation. Thus, for instance, if the face value of each

Mindteck (India) Limited

Reg. office: AMR Tech Park, Block – 1, 3rd Floor, #664, 23/24, Hosur Main Road,
Bommanahalli, Bengaluru – 560068, Karnataka.

CIN: L30007KA1991PLC039702

Share is increased to Rs. 20, the total number of Shares available for transfer under ESOS would be 2,08,000 (Two Lakhs Eight Thousand) Shares of Rs. 20 each.

- 3.7 Prior approval of shareholders of the Company shall be obtained by way of special resolution in case the Grant of Options to any identified Employee shall be equal to or exceeding 1% (One percent) of the issued capital (excluding outstanding warrants and conversions) of the Company at the time of Grant of Options.

4. Supervision and Administration of ESOS

4.1 Supervision

- a) The ESOS shall be supervised by the Committee. All the functions relating to superintendence of this ESOS shall stand possessed and be discharged by the Committee. All questions of interpretation of this ESOS shall be determined by the Committee and such determination shall be final and binding upon all persons having an interest in this ESOS.
- b) The Committee shall meet as required for the purposes of ESOS.
- c) The Committee shall, in accordance with this Scheme and Applicable Laws, *inter alia*, determine the following:
 - (i) The quantum of Options to be granted under the ESOS per Employee and in aggregate under the said Scheme, subject to the ceiling as specified in Para 3.1;
 - (ii) The Exercise Period within which the Employee can Exercise the Options and that Options would lapse on failure to Exercise the same within the Exercise Period;
 - (iii) The specified time period within which the Employee shall Exercise the Vested Options in the event of termination or resignation of an Employee;
 - (iv) the terms and conditions subject to which the Options granted would vest in the Option Grantee;
 - (v) the date of Vesting of the Options granted;
 - (vi) The right of an Employee to Exercise an Option vested in him at one time or at various points of time within the Exercise Period;
 - (vii) The Eligibility Criteria to avail benefits under the Scheme, the procedure and terms for the Grant, Vest and Exercise of Options, in case of Employees who are on long leave;
 - (viii) The procedure for making a fair and reasonable adjustment to the entitlement including adjustment to the number of Options and to the Exercise Price in case of corporate action such as rights issues, bonus issues, merger, stock split / consolidation, sale of division and others. In this regard, the following shall, *inter alia*, be taken into consideration:

Mindteck (India) Limited

Reg. office: AMR Tech Park, Block – 1, 3rd Floor, #664, 23/24, Hosur Main Road,
Bommanahalli, Bengaluru – 560068, Karnataka.

CIN: L30007KA1991PLC039702

- (a) The number and price of Options shall be adjusted in a manner such that total value of the Options remains the same after the corporate action; and
 - (b) The Vesting Period and the life of the Options shall be left unaltered as far as possible to protect the rights of the Employee(s) who is granted such Options.
- (ix) mode of payment of the Exercise Price and/or face value, as the case may be (cheque, demand draft, deduction from salary, or any other mode);
- (x) The procedure for cashless Exercise of Options, if required;
- (xi) Approve forms, writings and/or agreements for use in pursuance of the ESOS;
- (xii) The conditions under which Options will vest in Employees and will lapse if the employment is terminated for Misconduct. Even after the Options are vested, the unexercised options may be forfeited, if the employment is terminated for gross Misconduct;
- (xiii) Any matter relating to the ESOS Trust and aspects of administration of Scheme by the ESOS Trust; and
- (xiv) frame suitable policies and procedures to ensure that there is no violation of the securities laws, as amended from time to time, including Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015 and Securities and Exchange Board of India (Prohibition of Fraudulent and Unfair Trade Practices Relating To Securities Market) Regulations, 2003 or any statutory modification or re-enactment of these regulations by the Company, Subsidiary Company(ies) or any of the Employees, as applicable.

4.2 Administration

- (a) The ESOS shall be administered by the ESOS Trust to the extent aspects of such administration are delegated by the Committee as per requirements of the Applicable Laws.
- (b) The ESOS Trust shall be governed subject to following terms and conditions:
 - i. It shall not deal in derivatives and shall undertake only such transactions as permitted under the deed of ESOS Trust read with the provisions of the Applicable Laws;
 - ii. The Trustees appointed or re-appointed from time to time shall be such persons as being not disqualified as prescribed under the Applicable Laws; and

Mindteck (India) Limited

Reg. office: AMR Tech Park, Block – 1, 3rd Floor, #664, 23/24, Hosur Main Road,
Bommanahalli, Bengaluru – 560068, Karnataka.

CIN: L30007KA1991PLC039702

iii. The Trustees shall not vote in respect of the Shares held by the Trust.

- (c) The Trustees while administering ESOS shall abide by the provisions contained therein, terms of the Grant, Vesting and Exercise as decided by the Committee and shall ensure compliance of the provisions of the Applicable Laws at all times in connection with dealing with the Shares of the Company including but not limited to maintenance of proper books of account, records and documents as prescribed.

5. Eligibility and Applicability

- 5.1 Only Employees are eligible for being granted Options under the ESOS. The specific Employees to whom the Options would be granted and their Eligibility Criteria would be determined by the Committee at its discretion from time to time.
- 5.2 The Scheme shall be applicable to the Company and its Subsidiary companies and may be granted to the Employees of the Company or its Subsidiary companies, as determined by the Committee on its own discretion.
- 5.3 Appraisal process for determining the eligibility of the Employees will be based on designation, period of service, performance linked parameters such as work performance and such other criteria as may be determined by the Committee at its sole discretion, from time to time.

6. Grant and Acceptance of Options

6.1 Grant of Options

- (a) Grants contemplated under the Scheme shall be made on such day and month as decided by the Committee at its discretion.
- (b) Each Grant of Option under the Scheme shall be made in writing by the Company to the eligible Employees by way of Grant Letter containing specific details of the allocation, and disclosure requirements, as prescribed under Applicable Laws.

6.2 Acceptance of the Grant

- (a) Any eligible Employee who wishes to accept the Grant made under this Scheme must deliver to the Company a duly signed acceptance of the Grant on or before the date (“**Closing Date**”) which shall not be more than 30 days from the date of the Grant as specified in the Grant Letter.
- (b) Each Grant of Option under the Scheme shall be made in writing by the Company to the eligible Employees by way of Grant Letter containing specific details of the Grant, and disclosure requirements, as prescribed under Applicable Laws.
- 6.3 Any eligible Employee, who fails to deliver the signed acceptance of the letter of Grant on or before the Closing Date stated above, shall be deemed to have rejected the Grant unless the ESOS Trust determines otherwise.

Mindteck (India) Limited

Reg. office: AMR Tech Park, Block – 1, 3rd Floor, #664, 23/24, Hosur Main Road,
Bommanahalli, Bengaluru – 560068, Karnataka.

CIN: L30007KA1991PLC039702

7. Vesting Schedule / Conditions

7.1 The Options granted shall vest so long as the Employee continues to be in the employment of the Company (including Subsidiary companies). The Committee may, at its discretion, lay down certain performance metrics on the achievement of which the granted Options would vest, the detailed terms and conditions relating to such performance-based vesting, and the proportion in which Options granted would vest.

7.2 The Options would vest not earlier than the minimum Vesting Period of **1 (One) year** and not later than a maximum period of **3 (Three) years** from the date of Grant of Options as decided by the Committee at the time of Grant of Options which may vary from Employee to Employee or any class thereof subject to the minimum and maximum Vesting Period as aforesaid.

Provided that in case where Options are granted by the Company or the ESOS Trust under the ESOS in lieu of Options held by a person under a similar scheme in another company ("Transferor Company") which has merged or amalgamated with the Company, the period during which the Options granted by the Transferor Company were held by him may be adjusted against the minimum Vesting Period required under this Sub-clause.

7.3 Vesting of Options would be subject to continued employment with the Company and its Subsidiaries and thus the Options would vest essentially on passage of time. In addition to this, the Committee may also specify certain performance based Vesting Conditions on the achievement of which the granted Options would vest.

7.4 The specific Vesting schedule, detailed terms and conditions relating to performance based Vesting and the proportion in which Options granted would vest would be outlined in the Grant Letter given to the Option Grantee at the time of Grant of Options.

7.5 As a prerequisite for a valid vesting, an Option Grantee is required to be in employment or service of the Company or its Subsidiaries on the date of Vesting and must neither be serving his notice for termination of employment/ service, nor be subject to any disciplinary proceedings pending against him on the such date of Vesting. In case of any disciplinary proceedings against any Option Grantee, the relevant Vesting shall be kept in abeyance until disposal of the proceedings and such Vesting shall be determined accordingly.

7.6 Vesting of Options in case of Employees on long leave

The period of leave shall not be considered in determining the Vesting Period in the event the Employee is on a sabbatical. In all other events including approved earned leave and sick leave, the period of leave shall be included to calculate the Vesting Period unless otherwise determined by the Committee.

8. Exercise

8.1 Exercise Price

Mindteck (India) Limited

Reg. office: AMR Tech Park, Block – 1, 3rd Floor, #664, 23/24, Hosur Main Road,
Bommanahalli, Bengaluru – 560068, Karnataka.

CIN: L30007KA1991PLC039702

- (a) Exercise price shall be such as determined by the Committee, subject to the condition that the such Exercise Price shall not be less than the face value of the Share as on the date of Grant under any circumstances.
- (b) Payment of the Exercise Price per Share transferred shall be made by a crossed cheque or a demand draft drawn in favour of the ESOS Trust or by electronic mode through banking channels such as National Electronic Funds Transfer (NEFT), Real Time Gross Settlement (RTGS), Immediate Payment Service (IMPS) or in such other manner as the ESOS Trust may decide.

8.2 Exercise Period

(a) Exercise while in employment:

The Exercise Period would commence from the date of Vesting and will expire on completion of maximum Exercise Period of **6 (Six) months** from the date of Vesting of Options and such period as may be determined by the Committee at its sole discretion from time to time but within the aforesaid maximum period.

In the event of Exercise of Options resulting in fractional Shares, then the consideration for fractional Shares shall be settled in Cash or the Committee shall be entitled to round off the number of Shares to be transferred to the nearest whole number and Exercise price shall be correspondingly adjusted.

(b) Exercise period in case of separations from employment/ service:

Vested Options can be exercised subject to treatment of Unvested Options, as per provisions outlined herein below:

Separations	Vested Options	Unvested options
Resignation/Termination (other than due to Misconduct)	All the Vested Options as on date of submission of resignation or termination shall be exercised by the Option Grantee within 3 (Three) months from the last working day in the Company or its Subsidiary companies , as the case may be.	All Unvested Options on the date of submission of resignation/ date of termination shall stand cancelled with effect from that date.
Retirement (as per Company Policy)	All the Vested Options as on date of Retirement shall be exercised by the Option Grantee within 3 (Three) months from the last working day in the Company or its Subsidiary companies, as the case may be.	All Unvested Options on the date of Retirement shall stand cancelled with effect from date of Retirement.

Mindteck (India) Limited

Reg. office: AMR Tech Park, Block – 1, 3rd Floor, #664, 23/24, Hosur Main Road,
Bommanahalli, Bengaluru – 560068, Karnataka.

CIN: L30007KA1991PLC039702

Death	All Vested Options may be exercised by the deceased Option Grantee's nominee or legal heir(s) immediately after, but in no event later than 6 (Six) months from the date of death.	All the Unvested Options as on the date of death shall be deemed to vest immediately and to be exercised as per provisions applicable for Vested Options.
Permanent Incapacity	All Vested Options as on the date of incurring such incapacity may be exercised by the Option Grantee immediately after, but in no event later than 6 (Six) months from the date of incurring of such incapacity.	All the Unvested Options as on the date of incurring such incapacity shall be deemed to vest immediately and to be exercised by the Employee as per provisions applicable for Vested Options.
Termination due to Misconduct	All the Vested Options which were not exercised at the time of such termination shall stand cancelled with effect from the date of such termination.	All Unvested Options as on the date of such termination shall stand cancelled with effect from the termination date.
Transfer / deputation from/to the Company, or any of Subsidiary companies	Exercise period to remain as per the terms of the Grant. In case of subsequent separation, if any, from the Company, or any of Subsidiary companies, treatment of Vested Options shall be as per applicable circumstance mentioned in this table.	Vesting schedule and Exercise Period to remain as per the terms of the Grant. In case of subsequent separation, if any, from the Company, or any of Subsidiary companies, treatment of Unvested Options shall be as per applicable circumstance mentioned in this table.
Any other event not specified above	The Committee at its sole discretion would decide the treatment of the Vested Options and such decision shall be final and binding.	All Unvested Options on the date of such termination shall stand cancelled unless otherwise required by Applicable Laws.

Mindteck (India) Limited

Reg. office: AMR Tech Park, Block – 1, 3rd Floor, #664, 23/24, Hosur Main Road,
Bommanahalli, Bengaluru – 560068, Karnataka.

CIN: L30007KA1991PLC039702

- 8.3 Any or all Options may be exercised within the prescribed Exercise Period. The Options shall be deemed to have been exercised when an Option Grantee makes an application in writing to the ESOS Trust or by any other means as decided by the ESOS Trust, for the transfer of Shares against the Options vested in him, subject to payment of Exercise Price upon Exercise of Options respectively and recovery of applicable taxes and compliance of other requisite conditions of Exercise under the ESOS.

8.4 Lapse of Options

The Options not exercised within the respective Exercise Periods prescribed in Sub-clauses of Clause 8 shall lapse and be deemed to be cancelled on expiry of such Exercise Period. The Option Grantee shall have no right or recourse over such lapsed/ cancelled Options.

9. Other Terms and Conditions

- 9.1 The Employee shall not have a right to receive any dividend or to vote or in any manner enjoy the benefits of a shareholder in respect of Options granted, till Shares underlying such Options are transferred on Exercise of such Option.
- 9.2 Nothing herein is intended to or shall give the Option Grantee any right or status of any kind as a shareholder of the Company in respect of any Shares covered by the Grant unless the Option Grantee exercises the Options and becomes a registered holder of the Shares of the Company.
- 9.3 If the Company issues bonus or rights shares, the Option Grantee will not be eligible for the bonus or rights shares in the capacity of an Option Grantee, except that the entitlement to the number of Options or the Exercise Price or both will be adjusted in terms of Sub-clause 4.1(c)(viii) of the Scheme.
- 9.4 Options shall not be transferable to any person except in the event of death of the Option Grantee, in which case clause 8.2(b) would apply.
- 9.5 No person other than the Employee to whom the Option is granted shall be entitled to Exercise the Option except in the event of the death of the Option Grantee holder, in which case clause 8.2(b) would apply.
- 9.6 The Option shall not be pledged, hypothecated, mortgaged or otherwise alienated in any other manner.

10. Lock In

The Shares arising out of Exercise of Vested Options would not be subject to any lock-in period after such Exercise.

Provided that the Shares allotted on such Exercise cannot be sold for such further period or intermittently as required under the terms of Code of Conduct for Prevention of Insider Trading of the Company framed under Securities and Exchange Board of India (Prohibition of Insider Trading), Regulations, 2015.

Mindteck (India) Limited

Reg. office: AMR Tech Park, Block – 1, 3rd Floor, #664, 23/24, Hosur Main Road,
Bommanahalli, Bengaluru – 560068, Karnataka.

CIN: L30007KA1991PLC039702

11. Exit route in case of de-listing

If the Company gets de-listed from all the recognized Stock Exchanges, then the Committee shall have the powers to set out terms and conditions for the treatment of Vested Options and Unvested Options in due compliance of the Applicable Laws.

12. Deduction of Tax

12.1 The liability of paying taxes, if any, in respect of Options granted pursuant to this ESOS and the Shares transferred pursuant to Exercise thereof shall be entirely on Option Grantee and shall be in accordance with the provisions of Income Tax Act, 1961 read with rules issued thereunder and/or Income Tax Laws of respective countries as applicable to eligible Employees of Company working abroad, if any.

12.2 The Company (including Subsidiary companies) or ESOS Trust shall have the right to deduct from the Employee's salary, any of the employee's tax obligations arising in connection with the Option or the Shares acquired upon the Exercise thereof. The Company or the ESOS Trust shall have no obligation to deliver Shares in pursuance of the agreement until the said tax deduction obligations, if any, have been satisfied by the Option Grantee. In case of non-continuance of employment, the outstanding amount of the tax shall be recovered fully on or before full and final settlement.

13. Authority to vary terms

13.1 Subject to the compliance of the Applicable Law and by taking consent of the members of the Company by passing special resolution, the Committee can vary the terms of this ESOS for the purpose of efficient implementation and administration of the Plan. The modification should not be detrimental to the interest of the Option Grantees.

13.2 The special resolution for the variation should disclose the details of the variation, the rationale therefore and details of the Employees who are beneficiary of the same.

13.3 The Committee may also re-price the Options which are not exercised, whether or not they have vested, if ESOS is rendered unattractive due to fall in the price of the Shares.

13.4 Any changes in the Applicable Law affecting the Scheme shall be deemed to be incorporated in the Scheme without requiring any approval of the shareholders and or the Board (including Committee) of the Company.

14. Miscellaneous

14.1 Government Regulations

This ESOS shall be subject to all Applicable Laws, and approvals from governmental authorities. The Grant and the transfer of Shares under this ESOS shall also be subject to the Company requiring Employees to comply with all Applicable Laws.

14.2 Inability to obtain authority

Mindteck (India) Limited

Reg. office: AMR Tech Park, Block – 1, 3rd Floor, #664, 23/24, Hosur Main Road,
Bommanahalli, Bengaluru – 560068, Karnataka.

CIN: L30007KA1991PLC039702

The inability of the Company to obtain authority from any regulatory body having jurisdiction, or under any Applicable Laws for the lawful issuance of any Shares hereunder shall relieve and wholly discharge the Company of any and all liability in respect of the failure to transfer such Shares.

- 14.3 The Grant of an Option does not form part of the Option Grantee's entitlement to compensation or benefits pursuant to his contract of employment nor does the existence of a contract of employment between any person of the Company, give such person any right, entitlement or expectation to have an Option granted to him in respect of any number of Shares or any expectation that an Option might be granted to him whether subject to any condition or at all.
- 14.4 Neither the existence of this Scheme nor the fact that an individual has on any occasion been granted an Option shall give such individual any right, entitlement or expectation that he has or will in future have any such right, entitlement or expectation to participate in this Scheme by being granted an Option on any other occasion.
- 14.5 The rights granted to an Option Grantee upon the grant of an Option shall not afford the Option Grantee any rights or additional rights to compensation or damages in consequence of the loss or termination of his office or employment with the company or any of Subsidiary companies for any reason whatsoever (whether or not such termination is ultimately held to be wrongful or unfair).
- 14.6 The Option Grantee shall not be entitled to any compensation or damages for any loss or potential loss which he may suffer by reason of being unable to Exercise an Option in whole or in part in consequence of the loss or termination of his office or employment with the Company or any of Subsidiary companies for any reason whatsoever (whether or not such termination is ultimately held to be wrongful or unfair).
- 14.7 **General Risks**
Participation in the Scheme shall not be construed as any guarantee of return on the equity investment. Any loss due to fluctuations in the price of the equity and the risks associated with the investments is that of the Option Grantee alone.

15. Accounting Policy

The Company shall follow the IND AS 102 on Share-based payments and/ or any relevant accounting standards as may be prescribed by the Institute of Chartered Accountants of India or any other appropriate authority, from time to time, including the disclosure requirements prescribed therein, in compliance with relevant provisions of SEBI SBEB Regulations.

16. Certificate from Auditors and Disclosures

The Board shall at each annual general meeting place before the shareholders a certificate from the auditors of the Company that the Scheme has been implemented in accordance with the SEBI SBEB Regulations and in accordance with

Mindteck (India) Limited

Reg. office: AMR Tech Park, Block – 1, 3rd Floor, #664, 23/24, Hosur Main Road,
Bommanahalli, Bengaluru – 560068, Karnataka.

CIN: L30007KA1991PLC039702

the resolution of the Company in the general meeting. The Board shall also make the requisite disclosures of the Scheme, in the manner specified under the SEBI SBEB Regulations.

17. Governing Laws

17.1 The terms and conditions of the Scheme shall be governed by and construed in accordance with the Applicable Laws including the Foreign Exchange Laws mentioned below.

17.2 Foreign Exchange Laws

In case any Options are granted to any Employee being resident outside India belonging to the Company and its Subsidiaries, working outside India, the provisions of the Foreign Exchange Management Act, 1999 and rules or regulations made thereunder as amended and enacted from time to time shall be applicable and the Company has to comply with such requirements as prescribed from time to time in connection with Grant, Vest, Exercise of Options and transfer of Shares thereof.

18. Notices

All notices of communication required to be given by the Company to an Option Grantee by virtue of this -ESOS shall be in writing and shall be sent to the address of the Option Grantee available in the records of the Company and any communication to be given by an Option Grantee to the Company in respect of ESOS shall be sent to the address mentioned below:

Head- Human Resource
Mindteck (India) Limited,

Address: AMR Tech Park, Block – 1, 3rd Floor, #664, 23/24, Hosur Main Road,
Bommanahalli, Bengaluru – 560068

E-mail: pradeep.k@mindteck.com

19. Nomination

The Employee has to nominate a person as his/her nominee. The nominee in case of death or legal incapacity of Employee shall be the legal representative recognized by the Company as the inheritor of the Employee in respect of all rights and liabilities for the purposes of this Scheme.

20. Jurisdiction

20.1 The Courts of Bengaluru, India shall have jurisdiction in respect of any and all matters, disputes or differences arising in relation to or out of this ESOS.

20.2 Nothing in this clause will however limit the right of the Company to bring proceedings against any employee in connection with this ESOS:

(i) in any other court of competent jurisdiction; or

(ii) concurrently in more than one jurisdiction.

Mindteck (India) Limited

Reg. office: AMR Tech Park, Block – 1, 3rd Floor, #664, 23/24, Hosur Main Road,
Bommanahalli, Bengaluru – 560068, Karnataka.

CIN: L30007KA1991PLC039702

21. Listing of the Shares

As the ESOS Trust had already purchased the Shares from the Company which is already listed in the Recognized Stock Exchanges and there is no approval required for Listing of Shares consequent to the transfer of Shares upon Exercise of the Options.

22. Severability

In the event any one or more of the provisions contained in this Scheme shall for any reason be held to be invalid, illegal, or unenforceable in any respect, such invalidity, illegality or unenforceability shall not affect the other provisions of this Scheme, but Scheme shall be construed as if such invalid, illegal, or unenforceable provision had never been set forth herein, and the Scheme shall be carried out as nearly as possible according to its original intent and terms.

23. Confidentiality

- 23.1 An Option Grantee must keep the details of the Scheme and all other documents in connection thereto strictly confidential and must not disclose the details with any of his peer, colleagues, co-employees or with any employee and/ or associate of the Company or that of its affiliates and Subsidiaries. In case Option Grantee is found in breach of this confidentiality clause, the Company has undisputed right to terminate any agreement and all unexercised Options shall stand cancelled immediately. The decision and judgment of the Company regarding breach of this confidentiality clause shall be final, binding and cannot be questioned by Option Grantee. In case of non-adherence to the provisions of this clause, the Committee shall have the authority to deal with such cases as it may deem fit.
- 23.2 On acceptance of the grant of Option offered by the Company, it shall be deemed that as if the Option Grantee has authorized the Company to disclose information relating to the Option Grantee during the process of implementation of the Scheme or while availing any consulting or advisory services thereof or any other incidental services to its officers, professional advisors, agents and consultants on a need to know basis.

-----END OF DOCUMENT-----